

Unemployment Questions

SECTION 1 – Concept Reinforcement

1. What is the definition of unemployment? the unemployment rate is the proportion of the labour force who are willing able to work but have not been employed in paid work for at least one hour in the week in which they were surveyed.

2. Explain what you understand by the term labour force.

The labour force is the sum of employed and unemployed people in the work force. It described people who are currently employed and people who are willing and able to work but have not been employed yet.

3. How is the unemployment rate calculated?

the unemployment rate is the labour force/total working age population

4. What are the possible consequences when the actual unemployment rate is above the natural rate?

Long term unemployment due to GDP falling. Loss of potential growth due to less percentage of people employed. Wasted resources of unemployed people

Key Question 1: How is unemployment measured?

Key Question 2: What is the difference between the natural and actual rate of unemployment?

5. Explain a likely cause of structural unemployment?

6. Which of these is likely to increase the most in a severe recession?

- (a) frictional unemployment
- (b) seasonal unemployment
- (c) structural unemployment
- (d) cyclical unemployment

7. Workers who are unemployed because they lack the skills needed by employers are called

- (a) frictionally unemployed
- b) cyclically unemployed
- (c) seasonally unemployed
- (e) structurally unemployed

8. Recent graduates from universities and who are starting to look for jobs contribute to

- _____.
- (a) cyclical unemployment
 - (b) structural unemployment
 - (c) frictional unemployment
 - (d) underemployment

Key Question 3: What are the different types of unemployment?

Key Question 4: What are the costs of unemployment?

9. Explain how an economy may be adversely affected by high and persistent unemployment?

10. Explain one possible policy to address structural unemployment?

11. If unemployment that exists in an economy is due to a cyclical slump in the economy,

which is the most effective policy that the government should implement?

- (a) reduction income taxes
- (b) subsidize re-training of employees
- (c) raise interest rate
- (d) assist employees to look for jobs

12. When will a reduction in unemployment lead to an increase in inflation?

- (a) when the economy is operating at the Keynesian range
- (b) when the economy is operating at the Classical range
- (c) when marginal propensity to consume is low
- (d) when interest rates falls

Key Question 5: What are some policies used to address the different types of unemployment?

Discussion

Which form of unemployment would you consider to be the most serious for a country like

Australia? Why?

SECTION 3: Essays

SECTION 3A: Lower-Order Skills

1. (a) Explain the causes of unemployment. [10]

(a) Explain the costs of a high unemployment rate. [10]

3. "The 2010 FIFA World Cup is viewed as a defining moment for South Africa, with \$75

billion in improved roads, airports and other infrastructure; a reduction in unemployment and the potential enhancement of international investment and

tourism.” Source: The New York Times, 27 June 2009

(a) Explain the impact of hosting the 2010 FIFA World Cup on the different types of

unemployment in South Africa. [10]

SECTION 3B: Higher-Order Skills

1. The problem of jobless youth (15-24 years of age) shows no sign of abating. The

global youth unemployment rate was estimated at 13% in 2013, with many countries

across the world reporting their youth unemployment rate to be more than twice

their national unemployment rate.

(a) Explain why youth unemployment is of concern to governments. [10]

(b) Discuss whether the openness of an economy is a significant determinant in

the choice of policies to deal with youth unemployment. [